EOS Fitness Opco Holdings, LLC

Consolidated Financial Statements
Years Ended December 31, 2022 and 2021

EOS Fitness Opco Holdings, LLC

Contents

Independent Auditor's Report 3-4

Consolidated Financial Statements

Consolidated Balance Sheets as of December 31, 2022 and 2021 6

Consolidated Statements of Operations for the Years Ended December 31, 2022 and 2021 7

Consolidated Statements of Changes in Member's Deficit for the Years Ended December 31, 2022 and 2021 8

Consolidated Statements of Cash Flows for the Years Ended December 31, 2022 and 2021 9

Notes to Consolidated Financial Statements 10-28

Tel: 602-956-3400
Fax: 602-956-3402
www.bdo.com

2555 E. Camelback Rd, Suite 750
Phoenix, AZ 85016

Independent Auditor's Report

Board of Directors
EOS Fitness Opco Holdings, LLC
Phoenix, Arizona

Opinion

We have audited the consolidated financial statements of EOS Fitness Opco Holdings, LLC and its subsidiaries (the Company), which comprise the consolidated balance sheets as of December 31, 2022 and 2021, and the related consolidated statements of operations, changes in member's deficit, and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2022 and 2021, and the results of its operations and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

As discussed in Note 2 to the consolidated financial statements, the Company has changed its method for accounting for leases in 2022 due to the adoption of Financial Accounting Standards Board Accounting Standards Codification 842, *Leases*. Our opinion is not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern within one year after the date that the consolidated financial statements are issued or available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

BDO USA, P.A.

Phoenix, Arizona
July 21, 2023

EOS Fitness Opco Holdings, LLC

Consolidated Financial Statements

EOS Fitness Opco Holdings, LLC

Consolidated Balance Sheets

December 31,	**2022**	2021 (Revised)
Assets		
Current Assets		
Cash and cash equivalents	**$ 8,626,790**	$ 6,844,397
Restricted cash	**125,232**	75,844
Accounts receivable and other receivables	**2,891,800**	8,321,927
Prepaid and other current assets	**10,526,138**	10,798,806
Total Current Assets	**22,169,960**	26,040,974
Right-of-use assets, net	**381,280,515**	-
Property and equipment, net	**149,244,096**	126,883,632
Goodwill	**69,317,548**	69,317,548
Net deferred tax asset	**6,289,919**	-
Other assets	**492,385**	808,389
Total Assets	**$ 628,794,423**	$ 223,050,543
Liabilities and Member's Deficit		
Current Liabilities		
Accounts payable	**$ 13,434,082**	$ 13,275,603
Accrued expenses	**805,214**	101,629
Accrued compensation	**4,141,974**	4,785,185
Notes payable, current portion	**1,118,772**	1,018,772
Current operating lease obligations	**2,797,655**	-
Current maturities of finance lease obligations	**10,797,143**	10,172,375
Deferred revenue	**27,336,764**	22,803,151
Total Current Liabilities	**60,431,604**	52,156,715
Notes payable, net of current portion and debt issuance costs	**104,287,377**	95,747,019
Revolving line of credit	**2,738,854**	10,011,287
Operating lease obligations, net of current maturities	**475,044,574**	-
Finance lease obligations, net of current maturities	**22,956,575**	23,425,163
Net deferred tax liability	**-**	2,572,282
Deferred rent and other liabilities	**-**	92,623,119
Total Liabilities	**665,458,984**	276,535,585
Commitments and Contingencies (Note 5)		
Total Member's Deficit	**(36,664,561)**	(53,485,042)
Total Liabilities and Member's Deficit	**$ 628,794,423**	$ 223,050,543

See accompanying notes to consolidated financial statements.

EOS Fitness Opco Holdings, LLC

Consolidated Statements of Operations

Years ended December 31,	**2022**	2021 (Revised)
Revenues	**$ 252,119,348**	$ 190,129,264
Operating Expenses:		
Club operations	**121,982,879**	96,105,390
Payroll and related	**73,904,805**	57,313,513
Selling, general and administrative	**19,135,282**	13,486,752
Depreciation and amortization	**21,400,092**	17,656,204
Impairment on property and equipment	**1,343,646**	-
Total operating expenses	**237,766,704**	184,561,859
Income from Operations	**14,352,644**	5,567,405
Nonoperating Expense:		
Interest expense	**11,176,053**	10,122,609
Gain on extinguishment of debt and interest	**-**	(8,085,890)
Income before Provision for Income Taxes	**3,176,591**	3,530,686
(Benefit from) provision for income taxes	**(8,853,364)**	450,249
Net Income	**$ 12,029,955**	$ 3,080,437

See accompanying notes to consolidated financial statements.

EOS Fitness Opco Holdings, LLC

Consolidated Statements of Change in Member's Deficit

	Member's Contributions	Additional Paid-In Capital	Accumulated Deficit	Total
Balance, December 31, 2020 (Revised)	$ 40,000,000	$ 1,503,266	$ (98,116,207)	$ (56,612,941)
Equity-based compensation	-	47,462	-	47,462
Net Income (Revised)	-	-	3,080,437	3,080,437
Balance, December 31, 2021 (Revised)	**$ 40,000,000**	**$ 1,550,728**	**$ (95,035,770)**	**$ (53,485,042)**
Impact on adoption of ASC 842, *Leases*	**-**	**-**	**4,769,432**	**4,769,432**
Equity-based compensation	**-**	**21,094**	**-**	**21,094**
Net Income	**-**	**-**	**12,029,955**	**12,029,955**
Balance, December 31, 2022	**$ 40,000,000**	**$ 1,571,822**	**$ (78,236,383)**	**$ (36,664,561)**

See accompanying notes to consolidated financial statements.

EOS Fitness Opco Holdings, LLC

Consolidated Statements of Cash Flows

Years ended December 31,	**2022**	2021 (Revised)
Cash Flows from Operating Activities		
Net Income	**$ 12,029,955**	$ 3,080,437
Adjustments to reconcile net income to cash provided by operating activities:		
Depreciation and amortization	**21,400,092**	17,656,204
Impairment of property and equipment	**1,343,646**	-
Debt issuance costs amortization	**754,581**	798,491
Non cash lease expense	**21,565,510**	-
Gain on extinguishment of debt and interest	**-**	(8,136,585)
PIK Interest	**(1,881)**	121,036
Equity-based compensation expense	**21,094**	47,462
Deferred income taxes	**(8,862,201)**	383,139
Changes in working capital components:		
Accounts receivable and other receivables	**5,430,127**	(2,730,056)
Prepaid and other current assets	**272,668**	(2,591,827)
Accounts payable	**(4,548,611)**	(422,193)
Accrued expenses	**703,585**	(441,220)
Accrued compensation	**(643,211)**	224,326
Deferred revenue	**4,533,613**	7,894,697
Operating lease liability and other liabilities	**(19,234,043)**	6,926,274
Net Cash Provided by Operating Activities	**34,764,925**	22,810,185
Cash Flows from Investing Activities		
Purchases of property and equipment	**(23,674,159)**	(11,020,090)
Net Cash Used in Investing Activities	**(23,674,159)**	(11,020,090)
Cash Flows from Financing Activities		
Repayment of Term Loan	**(1,060,000)**	(1,010,000)
Proceeds from Revolving Credit	**2,000,000**	-
Repayment of SBA Loan, (EIDL)	**(8,772)**	(4,872)
Payment of financing leases	**(10,190,213)**	(8,900,067)
Net Cash Used in Financing Activities	**(9,258,985)**	(9,914,939)
Increase in Cash, Cash Equivalents and Restricted Cash	**1,831,781**	1,875,156
Cash, Cash Equivalents and Restricted Cash, Beginning of Year	**6,920,241**	5,045,085
Cash, Cash Equivalents and Restricted Cash, End of Year	**$ 8,752,022**	$ 6,920,241
Supplemental Disclosure of Cash Flow Information		
Cash paid for interest	**$ 11,176,053**	$ 9,324,118
Cash paid for income taxes	**$ 20,475**	$ 13,390
Non cash activities:		
Finance lease ROU received in exchange for lease liabilities	**$ 10,346,394**	$ 19,418,279
Property financed by landlord contribution	**8,151,690**	11,677,198
Revolver conversion to term Loan	**10,000,000**	-
Operating lease ROU received in exchange for lease liabilities	**75,499,690**	-
Gain on extinguishment of debt and interest	**-**	8,085,890

See accompanying notes to consolidated financial statements.

1. Basis of Presentation

Organization, Basis of Consolidation and Operations

The financial statements of EOS Fitness Opco Holdings, LLC are presented on a consolidated basis and have been presented in accordance with accounting principles generally accepted in the United States of America ("GAAP"). Consolidated entities include: Fitness Alliance, LLC (AZ), Fitness Alliance, LLC (CA), Fitness Alliance, LLC (NV), Sports Arena Fitness LLC (NV) and Neste Development Nevada LLC (NV) (collectively, the "Predecessor Entities"). Also included in the consolidated financial statements is EOS Fitness Brand, LLC (NV), which is currently dormant; EOS Fitness Utah, LLC (UT) and EOS Fitness Florida, LLC (FL), EOS Fitness Texas, LLC (TX). All material intercompany accounts, transactions, and profits have been eliminated.

EOS Fitness Opco Holdings, LLC (the "Company" or "EOS") is a wholly owned subsidiary of EOS Fitness Intermediate Holdings, LLC ("Intermediate Holdings"), which is a wholly owned subsidiary of EOS Fitness Holdings, LLC ("Holdings"). The Company prepares and presents separate financial statements apart from Intermediate Holdings and Holdings. On December 29, 2014, Bruckmann, Rosser and Sherrill ("BRS") acquired the net assets of the Predecessor Entities for net cash consideration of $64.5 million. This acquisition provided the foundation of the Company's operations and was sourced by $48.0 million of debt and a $40.0 million contribution from EOS Fitness Intermediate Holdings, LLC.

The Company is engaged in operating full-service health and fitness clubs, including providing personal fitness services and other incidental health club related services principally in residential locations of metropolitan areas in the southwestern United States. As of December 31, 2022, the Company operated 69 fitness clubs, including 26 in Arizona, 12 in California, 14 in Nevada, 10 in Utah and 7 in Florida.

2. Summary of Significant Accounting Policies

Correction of immaterial errors and reclassifications

The Company has revised its previously issued consolidated financial statements as of and for the year ended December 31, 2021, for misstatements related to deferred rent and other liabilities and club operations operating expenses, resulting from incorrect lease commencement and termination dates, and errors in straight-line rent calculations. The accompanying consolidated financial statements as of for the year ended December 31, 2021 have been revised to reflect the corrections. In addition, accumulated deficit at December 31, 2020 was reduced as shown below because of the adjustment to reduce club operation operating expenses prior to January 1, 2021, resulting from the same errors prior to December 31, 2020.

Additionally, certain member's deficit accounts in the prior year consolidated financial statements have been reclassified for comparative purposes to conform with the presentation in the current year consolidated financial statements. These reclassifications had no impact on total member's deficit.

The table below sets forth the impact of the revision on the previously issued consolidated balance sheet as of December 31, 2021:

Balance Sheet, December 31, 2021	Previously reported	Adjustment	As Adjusted
Deferred rent and other liabilities	$ 97,275,639	$ (4,652,520)	$ 92,623,119
Total liabilities	281,188,105	(4,652,520)	276,535,585
Total member's deficit	(58,137,562)	4,652,520	(53,485,042)

The table below sets forth the impact of the revision on the previously issued consolidated statement of operations for the year ended December 31, 2021:

Statement of Operations, year ended December 31, 2021	Previously reported	Adjustment	As Adjusted
Operating expenses, club operations	$ 99,330,316	$ (3,224,926)	$ 96,105,390
Total operating expenses	187,786,785	(3,224,926)	184,561,859
Income (loss) from operations	2,342,479	3,224,926	5,567,405
Income (loss) before provision for income taxes	305,760	3,224,926	3,530,686
Net Income (loss)	(144,489)	3,224,926	3,080,437

The table below sets for the impact of the revision on the previously issued consolidated statement of changes in member's deficit for the year ended December 31, 2021:

Statement of Changes in Member's Deficit, year ended December 31, 2021	Previously reported	Reclassification	Adjustment	As Adjusted
Accumulated deficit, December 31, 2020	$ (47,265,154)	$ (52,278,647)	$ 1,427,594	$ (98,116,207)
Dividend payments, December 31, 2020	(52,278,647)	52,278,647	-	-
Total member's deficit, December 31, 2020	(58,040,535)	-	1,427,594	(56,612,941)
Net Income (loss), year ended December 31, 2021	(144,489)	-	3,224,926	3,080,437
Accumulated deficit, December 31, 2021	(47,409,643)	(52,278,647)	4,652,520	(95,035,770)
Dividend payments, December 31, 2021	(52,278,647)	52,278,647	-	-
Total member's deficit, December 31, 2021	(58,137,562)	-	4,652,520	(53,485,042)

The table below sets for the impact of the revision on the previously issued consolidated statement of cash flows for the year ended December 31, 2021:

Statement of Cash Flows, year ended December 31, 2021	Previously reported	Adjustment	As Adjusted
Net income (loss)	$ (144,489)	$ 3,224,926	$ 3,080,437
Changes in working capital components:			
Operating lease liability and other liabilities *	10,151,200	(3,224,926)	6,926,274

* Presented as *Deferred rent liability and other liabilities* in the prior year consolidated financial statements

Revenue Recognition

The Company generates revenue primarily from the following sources: (1) membership dues, (2) personal training revenue, (3) processing fees, and (4) retail sales and other ancillary services. To achieve the core principle of Topic 606, the Company applies the following five steps:

1) Identify the contract with a customer;
2) Identify the performance obligations in the contract;
3) Determine the transaction price;
4) Allocate the transaction price to performance obligations in the contract;
5) Recognize revenue when or as the Company satisfies a performance obligation.

Revenue is recognized when control of the promised goods or services is transferred to the Company's customers, in an amount that reflects the consideration expected to be received by the Company in exchange for the goods or services. The Company excludes sales taxes and other similar taxes remitted to governmental authorities from the measurement of the transaction price.

The following describes the nature of the Company's primary types of revenue, revenue recognition policies, and significant payment terms as they pertain to the Company's contracts with customers.

Membership dues

The Company generates revenue from membership dues by providing customers with access to its fitness facilities and equipment. The Company offers differing tiers of memberships with higher tier memberships providing additional benefits to customers. In addition to the standard benefits included in each tier, customers may add additional benefits and services for an additional monthly fee such as the use of unlimited guest passes or unlimited use of the Kids Club. Customers pay a recurring monthly membership fee (the "Monthly Fee") and a recurring annual membership fee (the "Annual Fee"). Additionally, upon entering into an initial membership, the Company collects a one-time enrollment fee (the "Enrollment Fee"). The Company generally offers memberships that are on a month-to-month basis and satisfies its performance obligation over time as the Company stands ready to permit access to its clubs. However, the Company determined the Annual Fee and Enrollment Fees are nonrefundable upfront payments that represent material rights. Therefore, annual fees are recognized ratably

over a twelve-month period between annual billings. Enrollment Fees are recognized ratably over an estimated average membership life, which the Company determines based on historical data of the actual life of its members.

Personal training revenue

The Company generates revenue from personal trainings services by enrolling customers in a personal training contract and providing the training sessions as specified in each customer's agreement. Contracts for personal training services have a stated term of six months or less and entitle customers to a specified number of sessions each month. After the initial term, contracts are on a month-to-month basis. Customers pay a monthly fee for personal training services and forfeit any unused sessions each month. The Company recognizes revenue as it satisfies its performance obligations at a point-in-time when each session occurs.

Processing fees

The Company collects a processing fee when a customer's Monthly Fee or Annual Fee is received past the due date. Amounts are recognized at a point-in-time when the customer is charged.

Other ancillary club revenue

The Company's fitness clubs generally have an in-club store in which customers can buy apparel, nutritional products, or other consumable goods. Other ancillary services also include amounts collected from customers who purchase one-time access to certain club services, such as the Kids' Club or guest passes. The Company recognizes these revenues at a point-in-time when the Company satisfies its performance obligation.

Revenues consist of the following for the periods indicated:

Disaggregation of Revenue

Disaggregation of Revenue

Years ended December 31,	**2022**	2021
Membership dues	**$ 179,846,940**	$ 135,348,471
Processing Fees	**5,591,739**	3,869,759
Membership revenue	**185,438,679**	139,218,230
Personal training revenue	**53,002,138**	42,230,581
Other ancillary club revenue	**13,563,721**	8,553,006
Ancillary club revenue	**66,565,859**	50,783,587
Other revenue	**114,810**	127,447
Total Revenue	**$ 252,119,348**	$ 190,129,264

The related direct and incremental expenses of membership acquisition, which include sales commissions and bonuses, are capitalized and recognized on a straight-line basis over the estimated average membership life. Net deferred membership costs were $3.0 million and $2.6 million as of December 31, 2022 and 2021, respectively, and are included in prepaid and other current assets.

Contract Asset

The Company offers promotions or delayed billings to customers, which are effectively free trial periods and serve as a discount to future months throughout the contract term. The free trial periods are recorded as contract assets at inception and are subsequently amortized over the average member life as a reduction to revenue. As of December 31, 2022 and 2021, the contract asset balance was $3.5 million and $4.1 million, respectively, and is included in prepaid and other current assets.

Contract Liability

The Company records deferred revenue when cash payments are received or due in advance of our performance. For the year ended December 31, 2022, the Company recognized revenue of $22.7 million that was included in the deferred revenue balance as of December 31, 2021 and for the year ended December 31, 2021, the Company recognized revenue of $14.4 million that was included in the deferred revenue balance as of December 31, 2020.

Accounting Estimates

The Company prepares its consolidated financial statements in conformity with GAAP. These principles require management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. On an ongoing basis, the Company reviews and evaluates its estimates and assumptions, including, but not limited to, those that relate to the carrying value of long-lived assets, rent concessions and contingencies, including litigation related accruals, the valuation allowance associated with deferred taxes, and the average membership life, as well as leases, which require an incremental borrowing rate to discount the lease payments. The Company bases its estimates on historical experience, third-party valuations and on various other assumptions that are believed to be reasonable, the results of which form the basis for making judgments about the carrying values of assets and liabilities. Actual results could materially differ from those estimates.

Fair Value of Financial Instruments

Fair value is defined as the price that would be received from the sale of an asset or paid to transfer a liability in an orderly transaction between market participants in the principal or most advantageous market for the asset or liability. The fair value framework specifies a hierarchy of valuation techniques, which is based on whether the inputs into the valuation technique are observable or unobservable. The fair value hierarchy levels are as follows:

- Level 1 – Valuation techniques in which all significant inputs are unadjusted quoted prices from active markets for assets or liabilities that are identical to the assets or liabilities being measured.
- Level 2 – Valuation techniques in which significant inputs include quoted prices from active markets for assets or liabilities that are like the assets or liabilities being measured and/or quoted prices for assets or liabilities that are identical or like the assets or liabilities being measured from markets that are not active. Also, model-derived valuations in which all

significant inputs and significant value drivers are observable in active markets are level 2 valuation techniques.

- Level 3 - Valuation techniques in which one or more significant inputs or significant value drivers are unobservable. Unobservable inputs are valuation technique inputs that reflect a company's own judgments about the assumptions that market participants would use in pricing an asset or liability.

The fair value of financial instruments classified as current assets or liabilities, including cash and cash equivalents, restricted cash, accounts receivable, prepaid and other current assets, accounts payable, various accrued expenses and current liabilities, and deferred revenue approximate carrying value, principally because of the short-term nature of those items. The recorded value of debt approximates fair value based on the terms available to the Company for similar types of borrowing arrangements.

Cash, Cash Equivalents and Restricted Cash

The Company considers all investments purchased with an original maturity of three months or less to be cash equivalents. The Company also holds $0.1 million of letters of credit as required by consumer protection agencies for certain clubs in Utah.

The following table provides a reconciliation of cash, cash equivalents and restricted cash reported within the consolidated balance sheets to the amounts shown on the consolidated statements of cash flows as of December 31, 2022 and 2021:

December 31,	**2022**	**2021**
Cash and cash equivalents	**$ 8,626,790**	$ 6,844,397
Restricted cash	**125,232**	75,844
Total cash, cash equivalents and restricted cash	**$ 8,752,022**	$ 6,920,241

Concentration of Credit Risk

Financial instruments that potentially subject the Company to credit risk consist primarily of cash and cash equivalents, restricted cash and accounts receivable. The Company maintains its cash and cash equivalents with various financial institutions. These balances are insured by the Federal Deposit Insurance Corporation ("FDIC") up to $250,000 per depositor at each financial institution. At times the Company held cash equivalents in excess of these insured limits. The Company has not experienced any losses on its bank accounts to date and based on the credit ratings of the banking institutions, the Company does not believe it is exposed to any significant credit risk related to cash at this time.

Accounts Receivable

The Company provides trade credit and financing to its customers in the normal course of business. Accounts receivables are carried at amounts management deems collectible. Accordingly, an allowance is provided in the event an account is considered uncollectible. The ultimate collectability of accounts receivable may differ from that estimated by management. The Company had no allowance for doubtful accounts as of December 31, 2022 and 2021.

Property and Equipment

Property and equipment are stated at cost less accumulated depreciation. Expenditures for major improvements and additions are recorded as property and equipment while replacements, maintenance and repairs that do not improve or extend the lives of the respective assets are charged to expense. Depreciation is computed using the straight-line method over the estimated useful lives of the assets as follows:

Useful life, not to exceed the term of the lease:	
Exercise equipment	5 – 7 years
Furniture and office equipment	3 - 7 years
Leasehold improvements	Lease term (10 – 15 years)

The Company had recognized receivables for development costs incurred that are reimbursable by its landlords per the terms of the lease agreement. With the adoption of Accounting Standards Codification ("ASC") 842—Leases, $5.8 million of the $6.1 million January 1, 2022 receivable balance for tenant improvement was reclassed to Construction-In-Progress ("CIP") and Landlord Contribution.

Long-Lived Asset Impairment

Management reviews long-lived assets such as property and equipment and intangible assets subject to amortization for impairment whenever events or changes in circumstances indicate the carrying amount of the asset may not be recoverable. If there are indicators of impairment, the Company assesses the recoverability of assets by comparing the projected undiscounted net cash flows associated with the related asset or group of assets over their estimated remaining lives against their respective carrying amounts. Impairment, if any, is based on the excess of the carrying amount over the fair value of those assets. The Company has determined that no events or changes in circumstances have occurred to require impairment during the year ended December 31, 2021.

During the year ended December 31, 2022, the Company identified two clubs which have had a recent history of operating losses and net cash outflows. Accordingly, the Company identified this as a potential triggering event that the carrying value of the right-of-use assets and leasehold improvements related to these clubs may not be recoverable. Therefore, the Company assessed the recoverability of the assets related to these clubs by comparing the undiscounted future cash flows to the carrying value of the assets. The Company then tested the assets for impairment by comparing the present value of the future cash flows to the carrying value of the assets. As the discounted future cash flows were less than the carrying value, the Company determined the assets were impaired. As a result, the Company recognized $1.3 million of impairment loss of long-lived assets during the year ended December 31, 2022.

Goodwill

On December 29, 2014 (inception), the Company completed the acquisition of the Predecessor Entities, which resulted in goodwill of $68.7 million. In May 2017, the Company acquired one club in southern California, which resulted in goodwill of less than $0.1 million. In May 2019, the Company acquired five clubs in Utah, which resulted in goodwill of $0.6 million. Goodwill represents the excess of purchase price over the fair value of net assets acquired in the acquisition. The Company conducts its annual goodwill impairment assessment for its reporting unit during the fourth quarter of its fiscal year. The Company assesses goodwill based on a single entity-level reporting unit.

The Company historically tests goodwill for impairment by first using the qualitative assessment of whether it is more likely than not that the fair value of a reporting unit is less than its carrying value. If based on a qualitative assessment it is not more likely than not that the carrying value of the reporting unit is less than its fair value, then a quantitative assessment is not required. Goodwill impairment loss, if any, is measured as the excess of the carrying amount of our reporting unit over its fair value.

During 2022, the Company conducted a qualitative assessment and determined it does not need to perform the quantitative impairment test, due to the carrying value of the reporting unit being less than zero. No impairment has been recognized to date.

Litigation

The Company is engaged in proceedings incidental to the normal course of business. Certain conditions may exist as of the date these consolidated financial statements are issued, which may result in a loss to the Company, but which will only be resolved when one or more future events occur or fail to occur. The Company's management and its legal counsel assess such contingent liabilities, and such assessment inherently involves an exercise of judgment. In assessing loss contingencies related to legal proceedings that are pending against the Company or unasserted claims that may result in such proceedings, the Company's legal counsel evaluates the perceived merits of any legal proceedings or unasserted claims as well as the perceived merits of the amount of relief sought or expected to be sought therein.

If the assessment of a contingency indicates that it is probable that a material loss has been incurred and the amount of the liability can be estimated, then the estimated liability would be accrued in the Company's consolidated financial statements. If the assessment indicates that a potentially material loss contingency is not probable, but is reasonably possible, or is probable but cannot be estimated, then the nature of the contingent liability, together with an estimate of the range of possible loss if determinable and material, would be disclosed.

Loss contingencies considered remote are generally not disclosed unless they involve guarantees, in which case the nature of the guarantee would be disclosed.

Leases

According to the Recently Adopted Accounting Pronouncement for ASC 842, for leases where the Company is the lessee, the Company determines if an arrangement is or contains a lease at inception by assessing whether the arrangement contains an identified asset and whether it has

the right to control the identified asset. Right-of-use ("ROU") assets represent the Company's right to use an underlying asset for the lease term and lease liabilities represent the Company's obligation to make lease payments arising from the lease. Lease liabilities are recognized at the lease commencement date based on the present value of future lease payments over the lease term. ROU assets are based on the measurement of the lease liability and also include any lease payments made prior to or on lease commencement and any initial direct costs incurred, as applicable. Lease incentives received are excluded from ROU assets. The Company has no material leases as the lessor.

The lease term includes options to extend or terminate the lease when the Company is reasonably certain it will exercise such options. The expected lease term is used in determining whether the lease is accounted for as an operating lease or a finance lease. An increase in the expected lease term will increase the probability that a lease will be considered a finance lease and will generally result in higher interest and depreciation expense for a leased property recorded on the Company's balance sheets. Lease costs for the Company's operating leases are recognized on a straight-line basis within club operating expenses over the lease term.

The Company has elected to not separate lease and non-lease components for any leases within its existing classes of assets and, as a result, accounts for any lease and non-lease components as a single lease component. The Company has also elected to not apply the recognition requirement to any leases within its existing classes of assets with a term of 12 months or less and will recognize such costs straight-line over the lease term. There were no short-term lease costs for the year ended December 31, 2022.

The implicit rate in the Company's leases is generally unknown, the Company uses its incremental borrowing rate based on the information available at the lease commencement date in determining the present value of future lease payments. The incremental borrowing rate is also used in determining whether a lease is accounted for as an operating lease or finance lease. An increase in the incremental borrowing rate decreases the net present value of the minimum lease payments and reduces the probability that a lease will be considered a finance lease. For finance leases, the Implicit rate is used in allocating the Company's rental payments between interest expense and a reduction of the outstanding obligation. The Company gives consideration to its credit risk, term of the lease and total lease payments and adjusts for the impacts of collateral, as necessary, when calculating its incremental borrowing rates.

In determining finance lease or operating lease classification, the Company determines the fair market value of leased assets. The fair market value of leased property is generally estimated based on comparable market data from third-party sources and evaluated using management judgment.

Income Taxes

EOS Fitness Opco Holdings, LLC is a single member limited liability company whose taxable income is reported by EOS Fitness Intermediate Holdings, LLC, a holding company that has elected to be taxed as a C Corporation. Pursuant to ASC 740-10, *Income Taxes*, the Company has determined that an allocation of income tax expense to EOS Fitness Opco Holdings, LLC, using the separate-return method, is appropriate.

Advertising Costs

The Company expenses advertising and promotional costs as incurred. Advertising and promotion costs for the years ended December 31, 2022 and 2021, were $12.6 million and $10.3 million, respectively, and are included as a component of club operations on the accompanying consolidated statements of operations.

Equity-Based Compensation

The Company recognizes compensation expense for all equity-based awards made to employees and directors. The fair value of equity-based awards is estimated at the grant date and the portion that is ultimately expected to vest is recognized as compensation cost over either (1) the requisite service period; or (2) the performance period. The Company uses an option pricing model that considers the various terms of the agreements and utilized a Monte-Carlo simulation model to consider the vesting provisions to determine the fair value of certain awards at the date of grant. A discount for lack of marketability was included in the valuation at the grant date.

Since equity-based compensation is recognized only for those awards that are ultimately expected to vest, the Company applies an estimated forfeiture rate to unvested awards for the purpose of calculating compensation cost. These estimates will be revised, if necessary, in future periods if actual forfeitures differ from estimates. Changes in forfeiture estimates impact compensation cost in the period in which the change in estimate occurs.

Recently Adopted Accounting Pronouncements

In February 2016, the Financial Accounting Standards Board ("FASB") issued Accounting Standards Update ("ASU") No. 2016-02, *Leases* (Topic 842), ("ASC 842"). ASC 842 supersedes the lease recognition requirements in ASC 840, *Leases*. ASC 842 clarifies the definition of a lease and requires lessees to recognize right-of-use assets and lease liabilities for all leases, including those classified as operating leases under previous lease accounting guidance. The guidance is effective for private business entities for fiscal years beginning after December 15, 2019, with early adoption permitted. In October 2019, FASB extended the effective date to December 15, 2021. The Company adopted the standard effective January 1, 2022 using the modified retrospective transition method which allows for a cumulative-effect adjustment in the period of adoption with no restatement of prior periods. This method does not require disclosures required under ASC 842 for periods prior to the effective date. The Company elected the package of practical expedients upon adoption, which permits the Company to not reassess under the new standard the Company's prior conclusions about lease identification, lease classification and initial direct costs. Additionally, the Company did not elect the practical expedient permitting the use of hindsight in determining the reasonably assured lease term. As permitted by the FASB, the Company used the remaining lease term as of the adoption date to establish the discount rate used in measuring its operating lease liabilities and ROU assets at adoption. The following table summarizes the impact of Topic 842 on the balance sheet as of January 1, 2022 (in thousands).

Assets:	December 31, 2021	Impact on Adoption	January 1, 2022
Operating lease right-of-use assets	$ -	$ 328,519	$ 328,519
Total Assets	-	328,519	328,519
Liabilities:			
Operating lease liability	-	$ 418,306	418,306
Deferred rent	94,556	(94,556)	-
Total Liabilities	94,556	323,750	418,306
Equity:			
Retained Earnings	-	4,769	4,769
Liabilities and Equity	$ 94,556	$ 328,519	$ 423,075

The Company's finance lease assets and finance lease liabilities recognized are recognized at the carrying amount of the existing capital lease assets and capital lease liabilities under ASC 840 at the date of initial application.

In January 2017, the FASB issued ASU 2017-04, *Simplifying the Test for Goodwill Impairment*, which eliminates Step 2 of the goodwill impairment test. As such, an entity will perform its annual, or interim, goodwill impairment test by comparing the fair value of a reporting unit with its carrying amount. An entity should recognize a goodwill impairment charge for the amount by which the reporting unit's carrying amount exceeds its fair value. If fair value exceeds the carrying amount, no impairment should be recorded. Any loss recognized should not exceed the total amount of goodwill allocated to that reporting unit. Impairment losses on goodwill cannot be reversed once recognized. The new standard is effective for the Company in 2022. Early adoption is permitted for interim or annual goodwill impairment tests performed on testing dates after January 1, 2017. The standard permits the use of either the retrospective or cumulative effect transition method. The Company adopted Topic ASU 2017-04 and applied it to the Goodwill impairment analysis in the current year.

In August 2018, the FASB issued ASU No. 2018-15, *Intangibles - Goodwill and Other - Internal-Use Software (Subtopic 350-40), Customer's Accounting for Implementation Costs Incurred in a Cloud Computing Arrangement That Is a Service Contract*. This new guidance requires a customer in a cloud computing arrangement (i.e., hosting arrangement) that is a service contract to follow the internal-use software guidance in ASC 350-40 to determine which implementation costs to capitalize as assets or expense as incurred. Also, capitalized implementation costs related to a hosting arrangement that is a service contract will be amortized over the term of the hosting arrangement, beginning when the module or component of the hosting arrangement is ready for its intended use. This standard is effective for fiscal years beginning after December 15, 2021, and interim periods within fiscal years beginning after December 15, 2021. Early adoption of this standard is permitted. The Company adopted this standard on January 1, 2022. The standard did not have an impact on the consolidated financial statements.

New Accounting Pronouncements

In June 2016, the FASB issued ASU 2016-13, *Financial Instruments-Credit Losses (Topic 326),* and subsequently issued further clarifications and amendments which changed the incurred loss impairment methodology under current U.S. GAAP with a methodology that reflects a current expected credit loss ("CECL") measurement to estimate the allowance for credit losses over the contractual life of the financial assets and requires consideration of a broader range of reasonable and supportable information to inform credit loss estimates. There are no prescribed methods to develop an estimate of CECL. The CECL model, among others, applies to trade receivables and contract assets that result from revenue transactions, debt instruments except available for sale debt securities and loan commitments. The guidance is effective for fiscal years beginning after December 15, 2022. The Company is currently evaluating the impact of this standard on its consolidated financial statements.

3. Property and Equipment

Property and equipment as of December 31, 2022 and 2021, consisted of the following:

December 31,	2022	2021
Exercise equipment	$ 11,580,042	$ 11,699,085
Furniture and fixtures	5,113,604	4,021,431
Computers and software	3,032,935	1,820,229
Leasehold improvements	117,773,677	99,280,182
Construction-in-progress	18,827,800	6,841,449
Capital lease (ASC 840)	-	49,095,423
Finance lease assets (ASC 842)	60,046,947	-
Property, plant and equipment, total costs	216,375,005	172,757,799
Less: Accumulated Depreciation	(67,130,909)	(45,874,167)
Property and equipment, net	$ 149,244,096	$ 126,883,632

Depreciation expenses were $21.4 and $17.7 million for the years ended December 31, 2022 and 2021, respectively.

Included in property and equipment were finance leases, as defined by ASC 842, of $60 million as of December 31, 2022. Accumulated depreciation related to these leases was $28.9 million. The Company recorded $9.3 million in depreciation expense related to finance leases, as defined by ASC 842, during the year ended December 31, 2022.

Included in property and equipment were capital leases, as defined by ASC 840, of $49 million as of December 31, 2021. Accumulated depreciation related to these leases was $18.4 million. The Company recorded $7 million in depreciation expense related to capital leases, as defined by ASC 840, during the year ended December 31, 2021.

4. Income Taxes

Income tax expense for the years ended December 31, 2022 and 2021, consists of the following:

	2022	2021
Current:		
Federal	$ -	$ -
State	8,837	47,534
	8,837	47,534
Deferred:		
Federal	(6,792,404)	138,632
State	(2,069,797)	264,083
Total:	(8,862,201)	402,715
Federal	(6,792,404)	138,632
State	(2,060,960)	311,617
(Benefit from) provision for income taxes	$ (8,853,364)	$ 450,249

The Company's effective tax rate of -278.7% differed from the federal statutory tax rate of 21% primarily due to changes in the valuation allowance in 2022.

Deferred income taxes reflect the net effect of temporary differences between the carrying amount of assets and liabilities for financial reporting purposes and for income tax purposes. As of December 31, 2022, and 2021, the Company's total tax-effected deferred tax liability is $129.7 million and $18.9 million, respectively, relating primarily to ASC 842 ROU asset, goodwill, and fixed assets. The Company's total tax-effected deferred tax asset for as of December 31, 2022 and 2021 is $140.2 million and $32.0 million, respectively, relating primarily to ASC 842 Lease liability and intangibles. The Company recorded a valuation allowance against its net deferred tax assets for 2022 and 2021 of $4.2 million and $15.7 million, respectively, for a net deferred tax asset of $6.3 million and a net deferred tax liability of $2.6 million, respectively.

As of December 31, 2022, the Company has a gross federal net operating loss carryforward of approximately $41.6 million of which $6.0 million will expire between the years of 2034 through 2037, if not utilized. The remaining $35.6 million will carry forward indefinitely. The Company has a gross IRC Section 163(j) interest expense carryforward of $10.4 million that will carry forward indefinitely. The Company has state net operating loss carryforwards in Arizona of $15.8 million and California of $10.2million, which will begin to expire in 2040 if not utilized, in Utah of $2.5 million, which will begin to expire in 2042 if not utilized, and $2.7 million in Florida that will carry forward indefinitely.

The Company must assess whether a valuation allowance should be recorded against its deferred tax assets based on the weight of all positive and negative evidence available using a more-likely-than-not standard. Based on the weight of positive and negative evidence, the Company has determined that it is more likely than not that it will recognize the benefit of its net deferred tax assets. Accordingly, the Company released the valuation allowance against its net federal and state deferred tax assets, with the exception of its California deferred tax assets and its IRC Section 163(j) interest expense carryforward. The Company maintains a

valuation allowance of $2 million against its California deferred tax assets and $2.2 million against its IRC Section 163(j) interest expense deferred tax asset as the Company determined that it is not more likely than not that it will realize such deferred tax assets.

Under ASC 740-10, *Income Taxes,* the tax benefit from an uncertain tax position may be recognized only if it is more likely than not that the tax position will be sustained on examination by the taxing authorities. The determination is based on the technical merits of the position and presumes that each uncertain tax position will be examined by the relevant taxing authority that has full knowledge of all relevant information. As of December 31, 2022 and 2021, the Company has no uncertain tax positions. If the Company did have uncertain tax positions it would record the related penalties and interest as a component of income tax expense.

On March 27, 2020 the Coronavirus Aid, Relief and Economic Security Act (the "CARES Act") was signed into law. The CARES Act, among other things, includes provisions relating to refundable payroll tax credits, deferral of the employer side of social security tax payments, net operating loss carryback provisions, alternative minimum tax credit refunds, modifications to the net interest deduction limitations, and technical corrections to tax depreciation methods for qualified improvement property. The provisions under the CARES Act permitted the Company to use more favorable provisions to compute its IRC Section 163(j) interest limitation, recompute depreciation expense for qualified improvement property using the CARES Act technical correction, and defer payment of $1.5 million of social security taxes. As of December 31, 2022, the Company paid the remaining $766 thousand of the deferred payment of social security taxes.

The Company files income tax returns as part of EOS Fitness Intermediate Holdings, LLC in the federal and various state jurisdictions. The Company and/or its consolidated filing parent are subject to federal and state examination for the tax years ended December 31, 2014 through 2022.

5. Commitments and Contingencies

Operating Leases

The Company leases certain facilities and equipment under operating lease agreements with expected terms through fiscal year 2037. Rent expense related to operating leases totaled $55.3 million, of which, $12.0 million was accounted for as variable rent for the year ended December 31, 2022. Variable rent comprised primarily of the Company's proportionate share of operating expenses, property taxes and insurance and is classified as lease cost due to the Company's election to not separate lease and non-lease components.

Of these lease expense amounts, $54.8 million of rent expense is included in club operations for the years ended December 31, 2022, with the balance being included as a component of general, selling and administrative expense on the consolidated statements of operations.

Cash paid for amounts included in the measurement of operating lease liabilities for the year ended December 31, 2022 was $42.0 million and was included in net cash used in operating activities in the Company's statements of cash flows.

Finance Leases

The Company leases certain manufacturing-related equipment which are treated as finance lease obligations in the consolidated financial statements. The current finance leases have expiration dates through December 2027. As of December 31, 2022 the remaining finance lease obligation was $33.7 million. The Company recorded $2.3 million of interest expense related to finance leases.

Cash paid for amounts included in the measurement of finance lease liabilities for the year ended December 31, 2022 was $10.2 million and was included in net cash used in financing activities in the Company's statements of cash flows.

Maturities of operating and finance lease liabilities by fiscal year at December 31, 2022:

	Operating	Finance	Total
2023	$ 48,212,551	$ 12,899,794	$ 61,112,345
2024	51,686,337	11,127,402	62,813,740
2025	51,943,445	7,994,228	59,937,672
2026	52,174,621	5,041,485	57,216,106
2027	52,268,593	1,547,261	53,815,855
Thereafter	441,421,177	-	441,421,177
Total	697,706,724	38,610,171	736,316,895
Less: imputed interest	196,849,982	4,856,453	201,706,435
Less: tenant improvement	23,014,513	-	23,014,513
Present value of lease liabilites	$ 477,842,229	$ 33,753,718	$ 511,595,947

The following table sets forth the weighted average remaining lease term and discount rate for remaining leases at December 31, 2022:

	Operating	Finance
Weighted average remaining lease term (in years)	12.8	3.3
Weighted average discount rate	4.9	7.7

As of December 31, 2022, operating lease payments exclude approximately $496.6 million of legally binding minimum least payments for leases signed but not yet commenced.

As of December 31, 2022, finance lease payments exclude approximately $9.0 million of legally binding minimum least payments for leases signed but not yet commenced.

Disclosures under ASC 840 for the year ended December 31, 2021

Rent expense related to operating leases totaled $49.3 million for the year ended December 31, 2021. Of this amount, $49.0 million of rent expense is included in club operations for the year ended December 31, 2021, with the balance being included as a component of general, selling and administrative expense on the consolidated statements of operations and comprehensive loss.

Pending Litigation

The Company is subject to various legal proceedings, most of which relate to matters incidental to operations. Management does not believe the eventual outcome of these incidental legal proceedings will have a material adverse impact on the Company's financial condition or results of operations; however, the results of these claims cannot be predicted, and it is possible that the ultimate resolution of these matters, individually or in the aggregate, may have a material adverse effect on the Company's business (both in the near and long term), financial position, results of operations, or cash flows. Although the Company defends itself vigorously against claims and lawsuits and cooperates with investigations, these matters (1) could require payment of substantial damages or amounts in judgments or settlements, which individually or in the aggregate could exceed amounts, if any, that may be recovered under insurance policies where coverage applies and is available, (2) cause substantial expenses to be incurred, (3) require significant time and attention from the Company's management, and (4) could cause the Company to close or sell clubs or otherwise modify the way its business is conducted.

The Company accrues for claims and lawsuits when an unfavorable outcome is probable and the amount is reasonably estimable. A discussion of matters that are not incidental to the Company's operations is below.

Morales/Laguna v. Fitness Alliance, LLC originally was a Federal wage and hour class action/PAGA (Private Attorneys General Act) claim for failure to pay minimum wage, break premiums and blended overtime pay. In May 2018 the Superior Court upheld the rights to arbitration preventing a class action lawsuit. There was no activity on this case until 2022 when Morales/Laguna refiled her claim as an individual and PAGA claim with the State of California, County of Riverside alleging wage and hour violations. Defense counsel was able to obtain joint mediation of these matters with the *Yoo* matter, and this matter settled in combination with the *Yoo* matter. Details on the settlement and status of settlement are set out below in the *Yoo* matter summary.

Yoo v. Fitness Alliance, LLC and Zoberi v. Fitness Alliance, LLC are cases that were filed in 2019 and the claims related to wage and hour and wage statement penalties (California PAGA). The Zoberi matter has settled on an individual basis for the named plaintiffs for a total amount of $76,000. A full-day mediation occurred in 2021 but was unsuccessful. Following the first day of mediation, Defendant filed a Motion for Summary Adjudication on a discrete legal issue related to wage statements that the parties disputed at mediation. Defendant's motion was granted, and the parties are resuming negotiations. The parties met for a second-day of mediation in July 2022 and the case settled for $705,000. The Court issued its final approval on June 15, 2023. The settlement administration process will begin soon, and the Court ordered the settlement payments to be paid within 60 days of the Court's order. This amount was accrued as of December 31, 2022.

6. Notes Payable

On January 4, 2019, the Company entered into a 6-year agreement with two new lenders to refinance its existing indebtedness, as well as to provide funds for a dividend payment and general corporate expenses The total debt issuance cost of the new term loan was $4.8 million, of which $2.4 million remains to be amortized as of December 31, 2022. The facility consisted of a $90.0 million term loan ("Term Loan"), $20.0 million delayed draw term loan ("DDTL") and a $10.0 million revolving credit facility ("Revolver"). The new lenders require the Company

to maintain certain covenants including a maximum total leverage ratio measured quarterly until maturity. The company was in compliance with the covenants at both December 31, 2022 and December 31,2021.

On June 30, 2022, the company amended its existing loans and extended the expiration date to January 2026. The term loan was increased by $10 million, and a new DDTL-2 for $10 million was provided. In addition, the $10M revolver balance was converted to a term loan, and a new $10M revolver was extended to the Company.

Term Loan

The Term Loan is secured by substantially all the assets of the Company. Installment principal payments of $225,000 until June 2022, and $250,000 since July are made quarterly. Voluntary prepayments are allowed, and mandatory prepayments are based on excess cash flows commencing with the period ending on December 31, 2021, as defined in the credit agreement. The Term Loan matures on January 4, 2026, at which time all remaining principal and interest payments are due. Interest is paid quarterly at the applicable margin rate, which is based on the Company's total leverage ratio, plus the Base Rate or LIBOR rate, which was amended to adjusted term SOFR from June 30, 2022, when the debt amendment noted above was made. The rate was 7.6% as of December 31, 2022 based on the leverage ratio criteria per the second amendment to the credit agreement. The outstanding balance was $96.5 million as of December 31,2022 and $87.4 million as of December 31, 2021.

Delayed Draw Term Loan (DDTL)

The DDTL allows the Company to make additional borrowings in tranches and is subject to the same terms and agreements as the Term Loan. Installment principal payments are based on 0.25% of tranches that have been outstanding for a full quarter and are made on a quarterly basis. The DDTL-I matures on January 4, 2026, at which time all remaining principal and interest payments are due. Interest is paid quarterly at the applicable margin rate, which is based on the Company's total leverage ratio, plus the SOFR Rate. The rate on outstanding tranches is 7.6% as of December 31, 2022. The Company pays quarterly fees of 1.00% per annum on the undrawn portion of the DDTL to the lenders. As of December 31, 2022, there was $10.7 million outstanding on the DDTL-I and nil at DDTL-II and additional borrowing against the DDTL II expires June 30, 2024. The outstanding balance as of December 31, 2021 was $10.8 million.

Revolving Credit Facility

The Revolving Credit Facility ("Revolver") has $10.0 million available in aggregate principal amount, which matures on January 4, 2026. Voluntary prepayments are acceptable, and all outstanding principal payments are due at maturity. The interest rate for the term loan includes the Secured Overnight Financing Rate ("SOFR") as published by the Federal Reserve plus the applicable rate, which is based on the *Total Consolidated Leverage Ratio* per the credit agreement. The rate was 9.75% as of December 31, 2022. The Company pays quarterly fees of 0.50% per annum on the unutilized portion of the Revolver to the lenders. The amount borrowed against the Revolver was $2.7 million as of December 31, 2022, and $10 million as of December 31, 2021.

Future principal payments on the Term Loan, DDTL-I, DDTL-II and Revolver are as follows:

2023	$	1,118,772
2024		1,118,772
2025		1,118,772
2026		106,547,374
2027		8,772
Thereafter		90,687
Future Term Loan, DDTL, Revolver and SBA	$	110,003,149

Small Business Administration Paycheck Protection Program Loan

On March 26, 2020, the CARES Act was signed into federal law to respond to the economic hardships caused by increased unemployment due to COVID-19 shelter in place orders. Among other forms of economic relief, the CARES Act allows qualifying small businesses to apply for the Paycheck Protection Program ("PPP") which provides a federally-guaranteed loan, under the U.S. Small Business Administration, of up to $10.0 million with a two-year repayment term accruing at 1% annually.

On May 3, 2020, the Company received proceeds from loans in the amount of $8.1 million (the "PPP Loans") from TCF Bank, as lender. The PPP Loans are evidenced by promissory notes (the "Notes"), which contain customary events of default relating to, among other things, payment defaults and breaches of representations, warranties or terms of the PPP Loan documents. The PPP Loans were to mature on May 1, 2022 and bore interest at an annual rate of approximately 1%. The Paycheck Protection Program Flexibility Act of 2020 extended the deferral period for borrower payments of principal, interest, and fees on all PPP loans to the date that the Small Business Administration remits the borrower's loan forgiveness amount to the lender. As of July 2021, the Company received a notice of forgiveness in full principal and accrued interest. Accordingly, $8.09 million of gain on extinguishment of debt is included in Gain on extinguishment of debt on the accompanying consolidated statement of operations for the year ended December 31, 2021. The SBA maintains the right to audit the forgiveness of the PPP loans for a six-year period under terms of the agreements. There can be no certainty as to the outcome of an SBA audit.

Separately, the Company received a $150,000 SBA Economic Injury Disaster Loan with a 30-year term that bears 3.75% interest as of December 31, 2022.

9. Related-Party Transactions

The Company incurs management fees, which are paid semi-annually to BRS and co-investors. The amounts recorded for the years ended December 31, 2022 and 2021, are $1.3 million and $1.0 million, respectively. These amounts are classified under selling, general and administrative on the accompanying consolidated statements of operations.

10. Member's Deficit

The Member (Intermediate Holdings) owns 100% limited liability company interest, which includes all respective rights, preferences, and privileges of ownership.

Equity Interest Awards

On December 12, 2017, Holdings granted 250,000 Class C Common Units, of which 220,625 were awarded to members of EOS Fitness Opco Holdings, LLC management and a board member. Of the total awards, 220,625 are expected to vest over 5 years from the grant date, and all units are classified as performance-based with goals starting in year 2017. As of December 31, 2022, 44,125 of the Class C Common Units are unvested and outstanding. The remaining unrecorded compensation expense was less than $0.1 million.

On November 20, 2018, Holdings granted 29,375 Class C Common Units, which were awarded to employees of EOS Fitness Opco Holdings, LLC. The total awards are expected to vest over 5 years from the grant date and all units are classified as performance-based with goals starting in year 2018. As of December 31, 2022, 13,430 of the Class C Common Units are unvested and outstanding. The remaining unrecorded compensation expense was $0.2 million.

The Company recognized less than $0.1 compensation expense for the year ended December 31, 2022 but did not recognize expense for the year ended December 2021.

11. Subsequent Events

Management has evaluated subsequent events through July 21, 2023, the date on which the consolidated financial statements were available to be issued.

The following leases were signed subsequent to December 31, 2022:

Boynton, FL, Lake Meade, NV, S. Corona, CA, San Clemente, CA, Phoenix, AZ, Mesa, AZ (2 clubs), Scottsdale, AZ, and Tempe, AZ, Houston, TX Melbourne, FL and Bradenton, FL.

The above leases have not yet commenced but will result in approximately $204 million of legally binding minimum lease payments.

On April 4, 2023, the company purchased in an asset deal from Texans Fit (the "seller") three existing fitness clubs and the rights to open two other clubs under construction in the Houston area. The three existing fitness clubs, all operating in Houston or the Houston metro areas, operated under the Texans Fit brand name. The Company's asset purchase agreement gave the Company 90 days to transition the use of the Texans Fit brand name to the EOS Fitness brand name, and that transition has already occurred as of today's date. The purchase price for the acquisition was $5.5 million.